



Question 1

Which of the following can provide an incentive for trade between countries?



A

The existence of comparative advantage



B

A decrease in the use of tariffs



C

Consumer demand and variety



D

All of the above





Question 2

A country experiencing a current account deficit can remedy this by:



A

Increasing spending on imported products



B

Borrowing from other countries to achieve a balanced current account



C

Encouraging foreign investment in domestic assets



D

Achieving neutral goods and services account balances



Question 3

Specialization – an example

Who has the absolute advantage (AA) in what good?

Each number below shows the maximum output if the country produces *only* that good

Country/Good	Phones	Burgers	NB: These values are output (thousands) per day
Argentina	10	20	
Brazil	20	30	

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a Argentina has AA in both phones and burgers
 - b Argentina has AA in phones, Brazil has AA in burgers
 - c Argentina has AA in burgers, Brazil has AA in phones
 - d Brazil has AA in both phones and burgers**
- Your answer 

Question 4

Specialization – an example

What is Argentina's opportunity cost of producing a phone?

Each number below shows the maximum output if the country produces *only* that good.

Country/Good	Phones	Burgers
Argentina	10	20
Brazil	20	30

NB: These values are output (thousands) per day

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 20 burgers

b 2 burgers

c 30 burgers

d 1.5 burgers

Correct Answer:

✓ b - 2 burgers

Question 5

Specialization

What is Brazil's opportunity cost of producing a phone?

Each number below shows the maximum output if the country produces *only* that good.

Country/Good	Phones	Burgers
Argentina	10	20
Brazil	20	30

NB: These values are output (thousands) per day

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 20 burgers

b 2 burgers

c 30 burgers

d 1.5 burgers

Correct Answer:

✓ d - 1.5 burgers

Question 6

Specialization

Which country has comparative advantage in producing phones?

Each number below shows the maximum output if the country produces *only* that good.

Country/Good	Phones	Burgers	NB: These values are output (thousands) per day
Argentina	10	20	
Brazil	20	30	

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a Both Argentina and Brazil
- b Argentina
- c Brazil
- d Neither Argentina nor Brazil

Correct Answer:

✓ c - Brazil

Question 7

Specialization

Who has comparative advantage in producing burgers?

Each number below shows the maximum output if the country produces *only* that good

Country/Good	Phones	Burgers	NB: These values are output (thousands) per day
Argentina	10	20	
Brazil	20	30	

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a Both Argentina and Brazil

b Argentina

c Brazil

d Neither Argentina nor Brazil

Correct Answer:

✓ **b** - Argentina

Question 8

Specialization

If Argentina offers to trade 4 (thousand) burgers to Brazil for 7 (thousand) phones, will trade take place?

Each number below shows the maximum output if the country produces *only* that good

Country/Good	Phones	Burgers
Argentina	10	20
Brazil	20	30

NB: These values are output (thousands) per day

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a Yes – both countries will be happy to trade
- b No – Argentina will accept but Brazil will not accept
- c No – Brazil will accept but Argentina will not accept
- d No – neither country will be happy to trade

Correct Answer:

✓ b - No – Argentina will accept but Brazil will not accept



Question 9

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

Who has the absolute advantage in this situation?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** Freddy has absolute advantage in both mowing lawns and preparing invoices.
- b** Jason has absolute advantage in mowing lawns, while Freddy has absolute advantage in preparing invoices.
- c** Freddy has absolute advantage in mowing lawns, while Jason has absolute advantage in preparing invoices.
- d** Jason has absolute advantage in both mowing lawns and preparing invoices.

Correct Answer:

✓ **d** - Jason has absolute advantage in both mowing lawns and preparing invoices.



Question 10

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

What is Jason's opportunity cost of mowing a lawn?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|-------------------|
| a | three invoices |
| b | 1/2 of an invoice |
| c | two invoices |
| d | 1/3 of an invoice |

Correct Answer:

✓ c - two invoices

Question 11

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

What is Freddy's opportunity cost of mowing a lawn?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 1/3 of an invoice

b 1/2 of an invoice

c two invoices

d three invoices

Correct Answer:

✓ **d** - three invoices



Question 12

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

Who has the comparative advantage in mowing lawns?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--|
| a | Jason has comparative advantage in mowing lawns |
| b | Both Freddy and Jason have comparative advantage in mowing lawns |
| c | Freddy has comparative advantage in mowing lawns |
| d | Neither person has comparative advantage in mowing lawns |

Correct Answer:

✓ a - Jason has comparative advantage in mowing lawns



Question 13

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

What is Jason's opportunity cost of producing an invoice?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a three lawns mowed

b two lawns mowed

c 1/3 of a lawn mowed

d 1/2 of a lawn mowed

Correct Answer:

✓ **d** - 1/2 of a lawn mowed



Question 14

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

What is Freddy's opportunity cost of producing an invoice?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

two lawns mowed

b

1/2 of a lawn mowed

c

1/3 of a lawn mowed

d

three lawns mowed

Correct Answer:

✓ c - 1/3 of a lawn mowed



Question 15

Jason and Freddy are business partners in a lawnmowing business. Jason is a senior partner, and can mow ten lawns per day, or he can work in the office and produce twenty invoices a day. Freddy is a junior partner, and he can mow four lawns per day or produce twelve invoices a day.

Who has the comparative advantage in preparing invoices?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** Jason has comparative advantage in preparing invoices
- b** Freddy has comparative advantage in preparing invoices
- c** Both Freddy and Jason have comparative advantage in preparing invoices
- d** Neither person has comparative advantage in preparing invoices

Correct Answer:

✓ **b** - Freddy has comparative advantage in preparing invoices